

HALLIBURTON — NYSE: HAL

Energy & Utilities — Oilfield Services

RATING

BUY

TARGET PRICE

\$45.73

CURRENT PRICE

\$35.11

UPSIDE

+30.3%

April 2026 | Initiation of Coverage | Energy & Utilities — Oilfield Services

Company Overview

Halliburton is one of the three largest oilfield services companies globally, providing products and services to the upstream oil and gas industry since its founding in 1919. Headquartered in Houston, Texas, the company operates across more than 70 countries with approximately 46,000 employees, supporting energy producers across the entire upstream value chain — from exploration and reservoir analysis through drilling, well completion, and production optimisation.

The company operates through two reportable segments. **Completion & Production** (58% of revenue) provides well completions, stimulation, cementing, specialty chemicals, pressure control, and artificial lift services, and remains the primary earnings driver. **Drilling & Evaluation** (42% of revenue) encompasses drilling fluids, reservoir characterisation, formation evaluation, wireline, and digital well construction tools, with a particularly strong international footprint.

Halliburton’s strategy centres on a “**returns over volume**” framework: prioritising pricing discipline, technology differentiation — particularly through its Zeus electric fracturing platform — and international market growth, while selectively building optionality in adjacent energy markets including carbon capture and geothermal. Since 2021, the company has returned over \$6bn to shareholders while reducing net debt below \$7bn.

Enterprise Value	Revenue (FY2025)	EBITDA (FY2025)	EBITDA Margin
\$34.6B	\$22.2B	\$4.1B	18.6%
Market Cap	P/E (TTM)	EV / EBITDA	Debt / EV
\$28.4B	22.64x	8.40x	0.24x
Cash	Total Debt	Free Cash Flow	ROIC
\$2.2B	\$8.3B	~\$1.9B	~15–17%

Source: Company filings, S&P Global Market Intelligence. FY2025 actuals.

Segment Performance

Halliburton delivered stable top-line performance in FY 2025 at \$22.2bn, modestly below \$22.9bn in FY 2024, with robust international activity offsetting a cyclical softening in North America. Adjusted operating income remained resilient at approximately \$3.1bn despite one-off impairment charges, yielding an implied EBITDA margin of 15–16% on a reported basis and approximately 18.6% on an adjusted basis.

Completion & Production (58% of revenue)

The segment generated approximately \$12.8bn in revenue in FY 2025, contributing around \$2.2–\$2.3bn in operating income at a segment margin in the ~17% range. Profitability improved notably in Q4 2025, with operating income rising to \$570m on flat revenue, driven by higher-margin completion-tool and cementing activity, partially offset by softer stimulation volumes in the Western Hemisphere. Zeus electric fracturing fleets now account for more than 50% of Halliburton's active North American frac capacity, underpinning technology-driven pricing power.

Drilling & Evaluation (42% of revenue)

The segment produced approximately \$9.4bn in revenue and \$1.4–\$1.5bn in operating income in FY 2025, at a margin in the 14–15% range. The segment benefited from higher-margin wireline, digital/software, and technology-driven services. Q4 2025 operating income reached \$367m on flat revenue of \$2.4bn. International markets, particularly the Middle East and Latin America, remain the structural growth engine for this segment.

2026 Outlook

Management characterises 2026 as a “**rebalancing**” year, providing directional guidance rather than specific financial targets. North America revenue is expected to decline in the high single digits, offset by flat-to-modest international growth. For Q1 2026, Completion & Production revenue guidance is –7–9% QoQ with margins –300bps from the high-17% Q4 2025 level; Drilling & Evaluation is guided –2–4% QoQ with margins –25–75bps from ~15%. First-half earnings will soften under margin compression, with double-digit full-year margins as the year-end target. Capex is budgeted at ~\$1.2bn with FCF remaining supportive of shareholder returns.

Segment	Revenue FY25	Op. Income FY25	Margin	% of Total Rev.
Completion & Production	\$12.8bn	~\$2.2–2.3bn	~17%	58%
Drilling & Evaluation	\$9.4bn	~\$1.4–1.5bn	~14–15%	42%
Total / Group	\$22.2bn	~\$3.1bn (adj.)	~15–16%	100%

Source: Company filings. Adj. operating income excludes one-off impairment charges.

Cash Generation

Halliburton generated approximately \$1.9–2.0bn in free cash flow in FY 2025, supported by disciplined capex of ~\$1.25bn. The company returned roughly 85% of FCF to shareholders via dividends and approximately \$1.0bn in share buybacks, consistent with its policy of returning at least 50% of annual FCF through the cycle.

Shareholder Structure

Halliburton's register is heavily institutionalised. Institutional investors hold approximately 88.9% of outstanding shares, with the balance held by public and other investors (11.0%) and individuals/insiders (0.5%). This high-conviction ownership base, anchored by long-only asset managers, provides structural price support and a deep, liquid float.

Shareholder	Ownership (%)
Capital Research and Management Company	12.47%
The Vanguard Group, Inc.	12.00%
BlackRock, Inc.	9.73%
All other institutional	~54.7%
Public & other investors	11.01%
Individuals / Insiders	0.49%

Source: S&P Global Market Intelligence.

Industry Overview

The global oilfield services (OFS) market is entering a multi-year structural growth phase, supported by upstream reinvestment, offshore deepwater expansion, and accelerating digitalisation of field operations. The market is projected to grow from \$331bn in 2025 to \$623bn by 2035 at a 6.5% CAGR, underpinned by energy security imperatives alongside the longer-term energy transition.

Market Segments & Growth Drivers

- **Upstream capex:** Global upstream spending reached \$538bn in 2023, with renewed investment in unconventional basins sustaining activity growth across North America and internationally.
- **Offshore & deepwater:** Offshore drilling market valued at \$32.8bn in 2026, projected to reach \$41.7bn by 2031 (4.9% CAGR), led by ADNOC and QatarEnergy in the Middle East and deepwater developments in Brazil, Guyana, and Namibia.
- **Pressure pumping:** Growing from \$89.4bn (2024) to \$173.3bn by 2034, with the US representing ~74% of global frac demand concentrated in the Permian, Eagle Ford, and Bakken basins.
- **Digitalisation:** AI spend in oilfield operations expected to reach \$18.5bn by 2028, with autonomous drilling, digital twins, and real-time monitoring improving recovery and lowering unit costs.
- **Barriers to entry:** Capital entry costs of \$50–\$250M, proprietary technology stacks, and proven safety certifications effectively shield incumbents from new competition.
- **Buyer dynamics:** Large E&P operators wield significant pricing power, compressing OFS margins by 15%+ when WTI falls below \$60/bbl. Long-term integrated contracts provide structural stickiness.

Key Industry Trends

Bifurcated investment: Capital is migrating from short-cycle North American shale to long-cycle international and deepwater projects where production decline rates are lower and margins are structurally higher.

Efficiency over volume: Investment has shifted from capacity expansion to digital and AI optimisation — operators prioritise maximum recovery from existing assets over new drilling activity.

Defensive consolidation: A wave of mega-mergers is reshaping the market as top-tier players acquire rivals to protect margins, secure technology portfolios, and eliminate excess capacity.

Dual-track pivot: Operators are using fossil fuel cash flows to finance a measured, risk-averse entry into high-barrier new energy markets — primarily CCUS and geothermal — where OFS expertise is transferable.

Competitive Landscape

Company	Ticker	P/E	EBITDA Margin	Positioning
Halliburton	NYSE: HAL	22.6x	18.6%	Completions leader; Zeus e-frac; “returns over volume” strategy
SLB	NYSE: SLB	21.6x	21.7%	Full-suite technology premium; deepwater & integrated project management focus
Baker Hughes	NASDAQ: BKR	22.7x	16.9%	Equipment/product mix; LNG & turbomachinery; sticky aftermarket revenue
Weatherford	NASDAQ: WFRD	17.8x	20.6%	Focused challenger; well construction & artificial lift niche

Source: Company filings, Bloomberg consensus. FY2025 actuals.

Risks & Catalysts

Key Risks

North America concentration & short-cycle pricing pressure. ~41% of revenue is exposed to short-cycle U.S. land dynamics, resulting in above-peer earnings volatility. Competitive pressure in stimulation and hydraulic fracturing pricing, combined with lower utilisation in a sub-\$60 WTI environment, risks material Completion & Production margin compression.

Oil & gas downcycle / E&P capex cuts. Halliburton's activity is ultimately a derivative of E&P spending. Extreme oil price volatility leads to budget deferrals or outright capex cuts — directly reducing drilling and completion volumes, impairing revenue visibility, and pressuring EBITDA and FCF generation.

Technology differentiation & commoditisation risk. If Halliburton fails to sustain its technological edge — particularly in digital well construction, autonomous fracturing, and AI-driven reservoir services — pricing power erodes and market share shifts to SLB or Baker Hughes. IP challenges from peers remain a structural risk.

Geopolitics, licensing & compliance. Operations in 70+ countries expose the company to sanctions (OFAC), export controls, and local licensing regimes that can impair market access or delay major projects. Compliance costs — including FCPA exposure — add operational friction and potential liability.

Cybersecurity. A material cyber incident occurred in 2024, demonstrating the operational and reputational risk from Halliburton's extensive digital connectivity across internal platforms and third-party providers. The critical-infrastructure profile of the industry makes the company a target of choice.

Operational execution & project delivery. Wellsite incidents, equipment failures, and extreme weather can trigger litigation, forced downtime, and uninsured losses. Fixed-price or integrated project contracts create cost-overrun exposure and potential liquidated damages.

Key Catalysts

Zeus technology monetisation. Zeus electric fracturing fleets now represent more than 50% of Halliburton's active North American frac capacity, with adoption growing +18% QoQ. Broader rollout as penetration expands beyond the current active base drives C&P margin leverage through higher uptime, lower maintenance intensity, and a pricing/mix premium.

North America activity & pricing inflection. North America represents \$9.1bn (41%) of group revenue and is structurally short-cycle — any re-acceleration in rig count or pricing discipline by E&P operators translates rapidly and mechanically into margin uplift within Completion & Production, which offers significant operating leverage.

Venezuela re-entry optionality. Management has flagged potential activity resumption within months, drawing on a 600-person in-country workforce and an operating legacy dating to 1938. Halliburton's mobile asset model allows rapid redeployment with limited incremental capex — a high-upside, low-capital call option contingent on payment clarity from PDVSA.

Capital returns acceleration. The company's stated policy of returning at least 50% of annual FCF via dividends and buybacks, combined with a \$1.0bn buyback in 2025, provides an EPS accretion floor. If FCF durability exceeds current expectations, management has capacity to accelerate buybacks — a direct valuation catalyst.

International expansion & deepwater capture. Halliburton is positioned to capture share in the deepwater and subsea market projected to reach \$60bn by 2030, with particular exposure in Brazil and Guyana. International revenue now represents ~50% of group sales, providing structural diversification against NA cyclicity.

Diversification through adjacent energy stakes. A 20% fully diluted stake in VoltaGrid and other adjacent power-solution investments provide optionality on emerging structural demand from AI data centres and digital infrastructure. This does not alter the core OFS investment case but reduces perceived cyclicity at the margin.

Valuation Summary

RATING	TARGET PRICE	CURRENT PRICE	UPSIDE	HORIZON
BUY	\$45.73	\$35.11	+30.3%	12 months

We initiate coverage of Halliburton (NYSE: HAL) with a **BUY** recommendation and a 12-month target price of **\$45.73**, implying approximately 30% upside from the current price of \$35.11. Our conviction rests on three pillars: (i) dominant and defensible market positioning in global completions anchored by the Zeus electric fracturing platform; (ii) structural international expansion providing a durable buffer against North American cyclical; and (iii) best-in-class capital discipline, with ROIC consistently 3–4pp above WACC and a shareholder-return framework that floors downside risk.

Investment Rationale

Dominant market leadership & technological moat. Halliburton maintains substantial barriers to entry, with capital requirements of \$200bn+ for a comparable global OFS platform. Its ROIC of 17–18% consistently exceeds its 6.08% cost of capital. The proprietary Zeus electric fracturing platform now commands over 50% of the North American fleet, uses half the equipment of conventional spreads, and delivers 30% faster transition times — a meaningful operational and pricing advantage that the Octiv and Sensori automation systems are extending to reservoir-level intelligence.

Structural international expansion & multi-decade tailwinds. International markets now account for approximately 50% of group revenue, providing critical diversification against short-cycle US land volatility. Halliburton is directly positioned to capture share in the deepwater and subsea market projected to reach \$60bn by 2030, with particular exposure in Brazil and Guyana. The Venezuela re-entry option — low capex, legacy workforce, mobile assets — represents an asymmetric upside catalyst contingent solely on payment clarity.

Disciplined financial execution & shareholder returns. Halliburton's balance sheet carries an Altman Z-Score of 3.17–3.53 (safe zone) with net leverage trending below 1x. Management returned \$1.4bn to shareholders in 2024 and has committed to at least 50% annual FCF return. Against a peer group trading at 21–23x P/E, HAL at ~10x forward P/E presents a material valuation discount despite comparable margins — a gap we expect catalysts to close over the next 12 months.

DCF Assumptions

Our DCF is built on a WACC of 6.08%, derived from a 7.92% cost of equity, 4.92% cost of debt (after-tax), and a 4.00% US risk-free rate. The perpetuity growth rate of 2.00% is anchored to long-term inflation and global GDP growth — a conservative terminal assumption reflecting near-term cyclical softening in North American activity. Capex is modelled at 6% of revenue, consistent with historical reinvestment levels required to sustain equipment and technology leadership through the cycle.

Revenue pivot: Accelerating 2026+ growth led by Latin American expansion and long-cycle offshore demand, offsetting near-term North American softness from sub-\$60 oil and tariff cost pressures.

Margin defence: Resilient ~17% C&P margins driven by rapid Zeus adoption and cost-reducing automation (Octiv, Sensori), even as stimulation pricing compresses in the Western Hemisphere.

Capital discipline: Strict capex ceiling at ~6% of revenue, maximising free cash flow (~\$1.9bn) and enabling decade-low share-count reductions through the buyback programme.

Price Target — Weighted Methodology

Method	Implied Price	Weight
Comparables EV/EBIT	\$64.12	20%
Comparables EV/Revenue	\$68.81	20%
Precedent Transactions	\$47.60	10%
DCF (perpetuity growth)	\$27.14	20%
Street consensus	\$36.15	30%
Target Price	\$45.73	100%

The weighted blend balances intrinsic value (DCF), relative peer multiples (EV/EBIT and EV/Revenue), precedent transactions, and street consensus. The higher weight assigned to consensus (30%) reflects near-term uncertainty around the North American activity cycle.

WACC Components

Parameter	Value
WACC	6.08%
Cost of Equity (Ke)	7.92%
Cost of Debt (Kd)	4.92%
Risk-Free Rate	4.00%
Perpetuity Growth	2.00%
Capex / Revenue	6.00%
Tax Rate	21.0%

Recommendation. Combining these inputs results in a target price of **\$45.73**, representing approximately 30% upside from the current price of \$35.11. We recommend **BUY** at current prices or lower. Given geopolitical uncertainty around Iran and the macro risk of a meaningful oil price correction, patient investors may choose to await a lower entry point to further maximise risk-adjusted upside. We would view any pullback toward \$30–\$32 as a materially more attractive entry.

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